AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X

ANNUAL EXAMINATIONS (THEORY) 2024

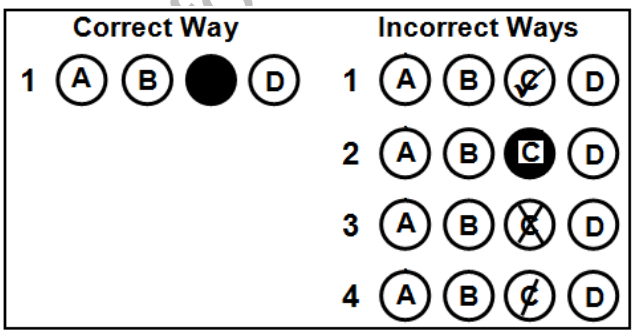
Business Studies Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. Sara joined an audit firm as a junior auditor. On the first day, Sara's supervisor introduced her to the employees, told her about the firm's history, structure, administration details and condition of employment.

   With reference to the process of recruitment in a business, this was part of her

   A. orientation.
   B. on job training.
   C. off job training.
   D. internal recruitment.

2. Frederick Winslow Taylor aims to improve workers' motivation by

   A. introducing flexible work hours.
   B. offering higher financial rewards.
   C. improving company's hygiene and environment.
   D. applying scientific methods to increase efficiency.

3. Sabeen works in a garment factory. She is responsible for the quality assurance of the garments manufactured. She is being paid for the number of garments checked and, if she checks more than 500 garments a day, she will be awarded extra amount for her efficiency and productivity.

   In the given scenario, the financial motivator used is

   A. time rate.
   B. commission.
   C. profit sharing.
   D. performance related pay.

4. Irfan Associates has decided to fire employees exhibiting the following characteristics.

   - Misconduct
   - Inability to perform the job
   - Negligence or incompetence

   The given kind of termination of a job is known as

   A. dismissal.
   B. retirement.
   C. resignation.
   D. redundancy.

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5. The PRIMARY purpose of workers' compensation is to provide

   A. financial assistance to employees who are injured due to work related activities.
   B. social Security Disability Insurance (SSDI) to employees who work on field.
   C. temporary Assistance for Needy Families (TANF) of employees.
   D. high-performing employees with a salary raise.

6. In the 19th century, a visionary entrepreneur revolutionised the transportation industry by introducing steam-powered engines and building a vast network of railways.

   Which era of entrepreneurship does the given scenario represent?

   A. Industrial Revolution
   B. Social Entrepreneurship
   C. Agricultural Revolution
   D. Traditional Entrepreneurship

7. Workers at XYZ Corporation are unhappy with their pay scale and working condition. To address these issues, they decide to take action together.

   What does 'industrial action' mean in the given situation?

   A. Employees are working overtime to get more pay.
   B. Employees are going on a vacation to reduce work stress.
   C. Employees are joining a company party to increase their pay.
   D. Employees are protesting or striking collectively to improve conditions.

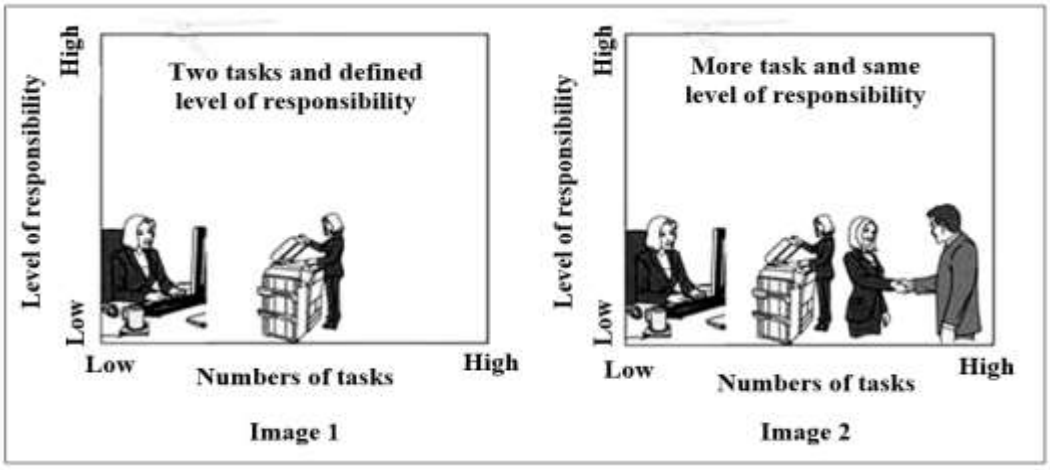
8. Kamran Corporation is looking for a Marketing Coordinator to join their team. The job includes developing and executing marketing campaigns, collaborating with design and content teams and reviewing performance indicators of campaigns.

   Which of the following components is MOST likely to be included in the job description for the Marketing Coordinator position at Kamran Corporation?

   A. Experience in making financial reports
   B. Proficiency in operating social media account
   C. Collaborating with legal terms to draft contracts
   D. Planning, executing and collaborating with sales, design and content teams

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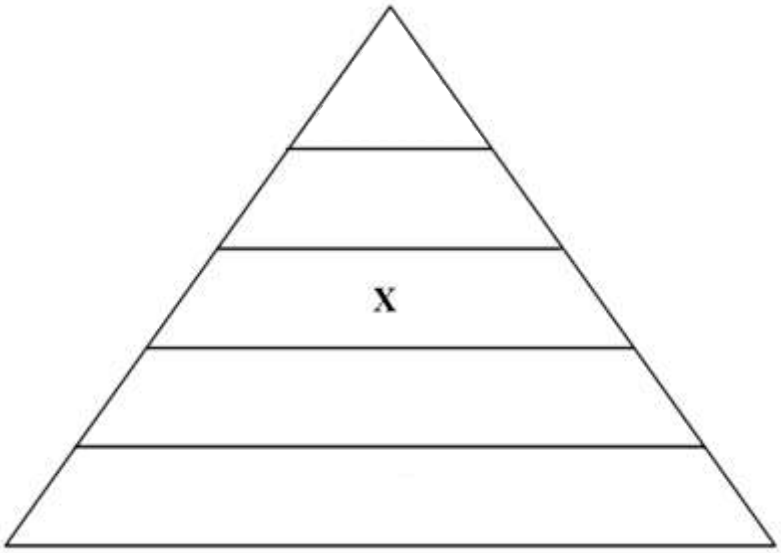
9. The given picture shows that there has been a change in the job nature from **Image 1** to **Image 2**.



This change in job nature will be termed as

A. job rotation.
B. job enrichment.
C. job satisfaction.
D. job enlargement.

10. The given pyramid depicts the theory of needs proposed by Abraham Maslow:



In the given pyramid, **X** represents

A. self-esteem.
B. safety needs.
C. belongingness.
D. self-actualisation.

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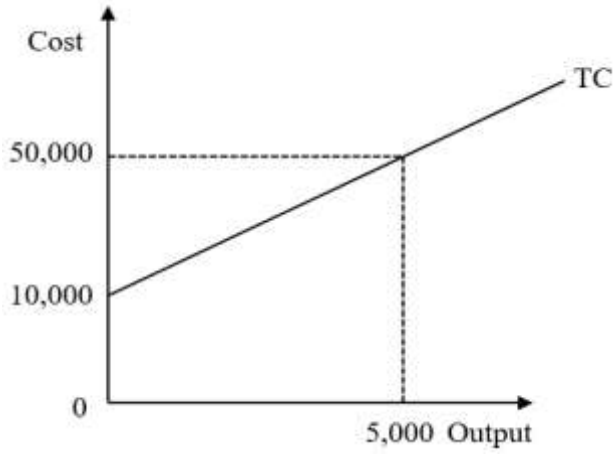
11. The term 'supply chain management' is BEST described as the

A. reduction in the number of suppliers for goods purchase.
B. minimisation in the cost of transportation of raw materials.
C. maximisation of stock for production to prevent from shortage.
D. efficient coordination for the flow of goods from suppliers to customers.

12. Economies of scale result in increase in output and decrease in

A. opportunity cost.
B. average cost.
C. fixed cost.
D. total cost.

13. The following graph shows the relationship between cost and output.



The amount of fixed cost extracted from the given graph will be

A. Rs 0
B. Rs 5,000
C. Rs 10,000
D. Rs 50,000

14. With reference to the imposition of taxes on business, 'tax incentive' is a/ an

A. surcharge added to the regular tax amount.
B. type of penalty for non-compliance with tax regulations.
C. mandatory tax payment imposed equally on all businesses.
D. exemption from taxes provided to encourage business activities.

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15. The following cost data is extracted from the books of a mobile manufacturing business

S.No.	Particulars of the cost	Amount (Rs)
1	Raw material consumed	70,000
2	Wages paid to workers	30,500
3	Utility charges (Electricity consumed in office)	7,500
4	Salary of security guard	1,250
5	Cost of transportation of raw material	20,000
6	Advertisement cost	2,500

Based on the given data, the indirect cost of manufacturing mobile parts would be

A. Rs 7,500
B. Rs 3,750
C. Rs 2,500
D. Rs 1,250

16. Arisha cafe sells coffee for Rs 250 per cup. The variable cost per cup, including coffee beans and milk, is Rs 50. The café's fixed costs, which include rent and salaries, amount to Rs 30,000 per month.

If the cafe achieves its break-even point by selling 150 cups monthly, then the business is

A. running at no-profit no loss.
B. coping up with its operational cost.
C. self-sufficient and acquiring profits.
D. sustainable and recovers its initial investment.

17. The MAJOR objective of 'supply chain management' is to

A. achieve competitive advantages, collaborative efficiency and optimise logistics.
B. audit quality standards while marketing and advertising a product.
C. control expenditures occurred during the process of production.
D. communicate business vision to its stakeholders.

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18. The following information has been extracted from the books of Allied Ltd.

- Current Assets Rs 50,000
- Current Liabilities Rs 30,000
- Non-Current Assets Rs 1,000,000
- Non-Current Liabilities Rs 500,000

Based on the given information, the current ratio of Allied Ltd. is

A. 0.6
B. 0.5
C. 1.67
D. 2.0

19. The financial information of a retail business is as under

- Sales revenue Rs 500,000
- Operating expenses Rs 90,000
- Gross profit Rs 124,000

Based on the given information, the amount of net profit margin would be

A. 6.8%.
B. 27.4%.
C. 62%.
D. 72.5%.

20. The following records are taken from the books of FAIZAN traders

- Sales revenues Rs 250,000
- Cost of goods sold Rs 150,000
- Gross profit Rs 100,000
- Operating expense Rs 40,000
- Net profit Rs 60,000

Based on the given records, the gross profit margin of the business will be

A. 150%.
B. 60%.
C. 40%.
D. 24%.

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21. XYZ Associates is facing delayed payments from several clients, resulting in a significant cash flow deficit.

The business aims to incentivise clients to settle their payments promptly by

A. extending credit terms further to accommodate clients.
B. ignoring late payments to maintain client relationships.
C. offering discount for early payment to incentivise prompt settlements.
D. refusing to provide further services until previous payments are paid off.

22. Liquidity ratio helps a business to determine its

A. net worth.
B. gross operational cost.
C. ability to pay-off debts.
D. strength to face market fluctuations.

23. The following table shows the details of Mr Adeel's business.

Account Title	Amount (Rs)
Service Revenue (15% accrued)	Rs 50,000
Operating Expense	Rs 30,000

Based on the given information, the net cash flow of business is

A. Rs 7,500
B. Rs 12,500
C. Rs 20,000
D. Rs 22,500

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24. The following particulars of a cash flow forecast have been given below:

Particulars	**Amount (Rs)**
Opening cash balance	10,100
Cash inflows	
Sales revenue (cash)	22,000
Collection from customers	4,000
Rent of courtyard	4,000
Total cash inflows	30,000
Cash outflows	
Commission	1,680
Payment to suppliers	14,000
interest and other expenses	3,500
Total cash outflows	19,180

From the given cash flow statement, the component that reflects total sales would be

A. commission – interest paid.
B. sales revenue + commission.
C. sales revenue + collection from customers.
D. collection from customers – payment to suppliers.

25. The full form of SWOT analysis in a market plan is

	S	**W**	**O**	**T**
A	Strategy	Worth	Objective	Technique
B	Strengths	Weaknesses	Opportunities	Threats
C	Strengths	Worth	Objective	Threats
D	Strategy	Weaknesses	Opportunities	Technique

26. A sales marketing officer has collected data from the public to find market shares of different mobile brands they purchased through a questionnaire.

The type of research conducted by the sales marketing officer is

A. qualitative and primary.
B. quantitative and primary.
C. qualitative and secondary.
D. quantitative and secondary.

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27. Ashfaq is a marketing manager for a new line of eco-friendly cleaning products. His targeted audience includes environmentally conscious consumers.

The KEY consideration in his marketing strategy would be to

A. offer products at the lowest possible prices.
B. target a broader market audience to increase sales potential.
C. utilise traditional mode of advertisement without any innovation.
D. align products' tagline with the values of 3R (reduce, recycle and reuse) principle.

28. Which of the following should be included in the introduction of a questionnaire-based interview?

A. A list of open-ended questions
B. A brief summary of interviewee's personal experience
C. Purpose of the interview and assurance of confidentiality
D. Detailed information about the interviewer's personal background

29. The FIRST step involved in developing a marketing plan is

A. creating content.
B. allocating a budget.
C. setting marketing goals.
D. conducting market research.

30. The process of gathering, analysing and interpreting information regarding the consumers' behaviour and preferences is known as

A. book keeping.
B. marketing research.
C. production efficiency.
D. sales revenue management.

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31. Suppose you are a market researcher and you are collecting data from multiple sources for a marketing campaign of a business.

Based on the given situation, the PRIMARY data collected for the campaign would be through

A. published market survey.
B. print media regarding the particular products.
C. consumers' feedback about the particular products.
D. sales data of competitors from their published financial statement.

32. Tahir Electronics is a small tech company that produces innovative gadgets. With the advent of globalisation, they decided to explore international markets. They managed to strike deals with distributors in multiple countries, allowing their products to reach a global audience.

Based on the given scenario, how does globalisation provide an opportunity for Tahir Electronics?

A. It reduces their communication cost.
B. It limits their business marketing options.
C. It encourages them to focus exclusively on product customisation.
D. It opens up access to international markets and to larger customer pool.

33. The PRIMARY focus of a business-to-business (B2B) model is to

A. provide services to the general public.
B. establish brand identity and recognition.
C. sell products directly to individual consumers.
D. facilitate the requirement of other trading organisations.

34. KESLA Automobiles is an auto manufacturer known for producing eco-friendly vehicles. However, the government has further raised the standards for emissions to reduce pollution.

How will KESLA Automobiles respond to the newly imposed standards?

A. They should claim exemption from the newly imposed standards.
B. They should ignore the imposed standards and continue producing vehicles.
C. They should restrict their production till the newly imposed standards is achieved.
D. They should improve their manufacturing technology to meet the recently imposed standards.

35. Global Corp, a multi-national company, recently contributed a substantial amount to a flood relief fund in a region hit by a natural calamity.

Which of the following component of Corporate Social Responsibility (CSR) is evident in Global Corp's donation to the natural disaster relief fund?

A. Employees well-being
B. Philanthropy and donations
C. Environmental sustainability
D. Transparency and accountability

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36. Shahab purchased groceries at a superstore at the sales counter via his card. The cashier asked him to enter his PIN code and the payment was processed through his bank, which will be settled at the end of the month.

The card referred in the given situation is COMMONLY known as

A. loyalty card.
B. credit card.
C. debit card.
D. smart card.

37. The government has recently increased import duty by 13%. This tax policy has led to change in the country's balance of payments.

With reference to the balance of payments, the newly increased tax will

A. have no impact on the current account balance.
B. shift the current account balance to the capital account.
C. lead to a decrease in the current account balance due to increased imports.
D. lead to an increase in the current account balance due to decreased imports.

38. The term, 'business cycle' refers to the

A. annual cycle of business events.
B. lifespan of individual businesses.
C. fluctuations in economic activity over time.
D. sequence of government regulations for businesses.

39. A change always brings resistance.

With reference to the given statement, the factor that does NOT contribute to resistance towards a change, based on employees' past experience in a business organisation would be fear of

A. the unknown outcome.
B. their previous experience.
C. continuity of new management.
D. enhanced efficiency and productivity.

40. Which of the following conditions will NOT trigger organisational change in a business?

A. Competitive pressure
B. Technological advancement
C. Maintaining current structure
D. Shifting in the market demand

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END OF PAPER

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